

HOUSE No. 2257

The Commonwealth of Massachusetts

PRESENTED BY:

Michael S. Day

To the Honorable Senate and House of Representatives of the Commonwealth of Massachusetts in General Court assembled:

The undersigned legislators and/or citizens respectfully petition for the adoption of the accompanying bill:

An Act enhancing municipal bonding efficacy.

PETITION OF:

NAME:	DISTRICT/ADDRESS:	DATE ADDED:
<i>Michael S. Day</i>	<i>31st Middlesex</i>	<i>1/17/2025</i>

HOUSE No. 2257

By Representative Day of Stoneham, a petition (accompanied by bill, House, No. 2257) of Michael S. Day for legislation to establish a special legislative commission to conduct an investigation and study of municipal bonding. Municipalities and Regional Government.

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

An Act enhancing municipal bonding efficacy.

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 SECTION 1. (a) Notwithstanding any special or general law to the contrary, there shall
2 be a special legislative commission established pursuant to section 2A of chapter 4 of the
3 General Laws to conduct a study of municipal bonding.

4 The commission shall consist of eleven members, two of whom shall be the chairs of the
5 joint committee on municipalities and regional government or their designees, who shall serve as
6 co-chairs; one of whom shall be appointed by the speaker of the house of representatives who
7 shall have expertise in municipal finance; one of whom shall be appointed by the president of the
8 senate who shall have expertise in bonding law or bonding credit rating practices; one of whom
9 shall be the minority leader of the House or their designee; one of whom shall be the minority
10 leader of the Senate or their designee; one of whom shall be the senior deputy commissioner of
11 the division of local services within the department of revenue or their designee; one of whom
12 shall be a chief financial officer of a city within the commonwealth, to be appointed by the

Massachusetts Municipal Association; one of whom shall be a chief financial officer of a town within the commonwealth, to be appointed by the Massachusetts Municipal Association; one of whom shall be the treasurer and receiver general of the Commonwealth or their designee; one of whom shall be the secretary of administration and finance of the commonwealth or their designee.

The commission shall evaluate municipal bond issuance practices in the commonwealth and across the United States and make recommendations to the legislature regarding the manner in which municipalities can maximize their bond rating. The commission shall:

- (i) Survey the credit ratings of bond issuing municipalities over time;
 - (ii) Compare how Massachusetts municipalities have been impacted by their respective bond ratings and how this experience compares to that of similar municipalities in other states;
 - (iii) Compile bond credit rating presentations and identify best practices in effectiveness;
 - (iv) Investigate and report on methodologies used by municipal bond credit rating agencies;
 - (v) Identify best practices in municipal finance and what common barriers exist, if any, in adopting them; and
 - (vi) Determine how statewide organizations and the division of local services may offer technical assistance throughout the municipal bonding process.
- (b) The Department of Revenue and each municipality of the commonwealth shall, upon request of the commission, provide to the commission timely access to all records and documents as the commission may require pursuant to its charge.

34 (c) The commission shall convene within forty days of a quorum of 5 members having
35 been appointed and shall submit its findings and recommendations, including any proposed
36 legislation relative to municipal bonding practices, by filing the same with the clerks of the house
37 of representatives and senate and the governor not later than September 31, 2025.